

Micron Technology, Inc.

MU NASDAQ

Buy	\$966.78 ▼ 0.77%	12M Price Target \$1150.00	52-Week Range \$114.25 – \$1255.00	Market Cap \$1.09T
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MU: Chinese Memory IPO Spooks, But CHIPS Act Moat Holds

WHAT HAPPENED

- MU dropped ~4.5% over the week and is down again today after a Chinese memory chip maker IPO'd — the market is worried China is closing the tech gap. But here's the thing: they're IPOing DRAM (the older stuff), not HBM (high-bandwidth memory, the AI chip). MU still basically has a duopoly with SK Hynix on the high-margin AI memory that Nvidia needs.
- Bloomberg piece on Nvidia's "friends and foes closing in" is spilling over — when Nvidia sneezes, MU catches a cold because ~60% of MU's growth story IS Nvidia's HBM demand.

WHY IT MATTERS

This selloff is more sentiment than substance. The Chinese IPO is a legitimate long-term threat but it's a 3-5 year concern, not a next-quarter concern — China still can't produce HBM3E at scale, and US export controls are actively preventing them from getting the ASML lithography machines they'd need. The bigger inference: with MU at 75% of its 52-week range and options flow showing a bullish put/call skew despite the price drop (unusual call buying at \$960 and \$970 strikes), smart money looks like it's using this dip to accumulate. Watch for MU's fiscal Q4 earnings in late September — if HBM guidance stays strong, this dip gets bought aggressively.

POLICY & POLITICAL WATCH

The CHIPS Act is MU's single biggest tailwind — they've been awarded ~\$6.1B in direct grants to build fabs in Idaho and New York, and that money is actively flowing. The Trump administration has been ambivalent on CHIPS (threatened to claw it back earlier this year) but ultimately kept it because reshoring semiconductors is bipartisan gospel. The real thing to watch: rumored Commerce Department action to tighten HBM export controls to China further — that would be a direct tailwind for MU by locking Chinese buyers into domestic (weaker) alternatives while preserving MU's Western customer base. Also watch the Taiwan tariff situation; any escalation hurts TSMC/Nvidia and by extension MU's HBM demand.

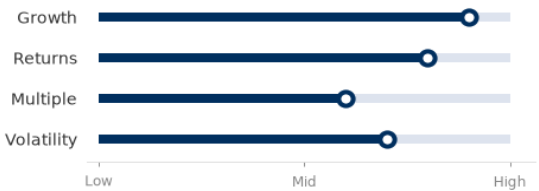
IS IT EXPENSIVE?

At ~\$967 and roughly 65x trailing earnings, MU looks expensive on the surface — you're paying \$65 for every \$1 of last year's earnings. But memory is cyclical and earnings are exploding: on forward numbers you're paying more like 22-25x next year's earnings, which is reasonable for a company growing revenue 40%+ with expanding margins. Compared to Nvidia at ~40x forward, MU is actually the cheap way to play the AI infrastructure trade.

Key Data

Price (USD)	\$966.78
12M Price Target	\$1150.00
Upside / (Downside)	+19.0%
Market Cap	\$1.09T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.80
FY2027E EPS	\$21.50
Fwd P/E	65.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1080.00	\$990.00	\$880.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1150.00	\$780.00
2 Years	\$1900.00	\$1400.00	\$700.00
5 Years	\$2800.00	\$1800.00	\$600.00
10 Years	\$4500.00	\$2500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.14%) leading today — likely a reflation trade tied to Bessent's Iran presser and oil dynamics. Healthcare grinding higher on defensive rotation.

COOLING OFF: Tech/semis are the notable absence from the leaderboard today — money is rotating OUT of crowded AI trades on the China competition headline.

ROTATION WATCH: Classic late-summer risk-off day — money moving from high-beta semis into materials and healthcare. Not a fundamental shift, more a positioning reset before September Fed meeting.

RELATED PLAY: If you like MU's HBM thesis, look at Applied Materials (AMAT) and Lam Research (LRCX) — they sell the equipment that MAKES the HBM chips, and they benefit whether MU, Samsung, or SK Hynix wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the anchor tenant of the AI trade — but "foes closing in" narrative today is a warning shot.
- AVGO (Broadcom): Winning the custom AI chip battle with hyperscalers, taking share of the ASIC market.

MU CONTEXT: MU is lagging peers today on the China IPO news specifically — this is stock-specific weakness, not sector weakness. That's actually a better setup for a bounce because it's a discrete, addressable concern rather than a broad AI unwind. If MU underperforms into earnings, it becomes a coiled spring.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — HBM duopoly + CHIPS Act moat + AI capex tailwind is a rare trifecta, but memory cyclicalilty keeps me from 10.

POSITION SIZE: 3-5% of portfolio — the upside is real but memory stocks can drop 40% in a cycle downturn, so size accordingly.

ENTRY POINTS: I'd start a position around \$940-960 and add aggressively on any pullback to \$900. The \$880 level is where the 200-day trend support likely sits.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is fiscal Q4 earnings (late September) and HBM4 design win announcements with Nvidia's next-gen platform.

WHEN TO BAIL: If MU loses HBM qualification with Nvidia, if hyperscaler capex guidance turns negative, or if Chinese HBM3 samples appear commercially — any one of those and I'm cutting.

HEDGING: Simplest hedge is to buy a put option 10% below current price expiring after next earnings — costs you maybe 3% but caps your downside if the earnings print disappoints. Or just don't oversize the position.